1. Business Overview

GymGaze is a digital out-of-home advertising network installed across gym venues in South Africa. The company installs screens, manages content delivery via the Cuecast CMS platform (licensed), and sells advertising inventory to brands targeting gym-goers. GymGaze currently operates across 14 Edge Fitness venues with 102 screens in 4 provinces, reaching an estimated 35,000+ gym members across the network.

2. Network Summary

Metric	Detail
Launch Partner	Edge Fitness
Current Venues	14
Current Screens	102
Provinces	Eastern Cape, Gauteng, Western Cape, KwaZulu-Natal
Estimated Gym Members (network)	35,000+
Content Management	Cuecast CMS (licensed)
Phase 2 Venues (Year 2)	23 (Edge Fitness +9)
Phase 2 Screens (Year 2)	~165

3. Revenue Model

GymGaze earns revenue by selling advertising slots on its screen network. Each screen runs a 251-second content loop with 16 advertising slots. Pricing is CPM-based (cost per thousand impressions). Revenue is distributed as follows:

Party	Share	Notes
Edge Fitness	30% of gross	Venue partner share
GymGaze Gross	70% of gross	After venue partner
Sales Rep Commission	7% of GymGaze gross	Capped at 7%
Broker Fee	7% of GymGaze gross	Introducer, capped at 7%
GymGaze Net Revenue	**56% of gross**	**After all commissions**

4. Key Assumptions

Assumption	Value
Content loop duration	251 seconds
Ad slots per loop	16
Operating hours per week	108 hours (6am–10pm, 7 days)
Estimated impressions per play	5–12 (varies by scenario)

Impression-to-viewer ratio	55% of gym traffic
CPM range	R65–R95
Widget sponsorships (3 available)	R142,000/yr each

5. Three-Scenario Revenue Projections — Year 1 (102 Screens)

Projections across three sell-through scenarios. Conservative: 30% sell-through, CPM R65, 5 impressions/play. Base: 55% sell-through, CPM R75, 8 impressions/play. Optimistic: 80% sell-through, CPM R95, 12 impressions/play.

	Conservative	Base	Optimistic
Sell-Through	30%	55%	80%
CPM Rate	R65	R75	R95
Impressions / Play	5	8	12
Gross Revenue	R7,000,000	R23,800,000	R65,900,000
Edge Fitness Share (30%)	R2,100,000	R7,200,000	R19,800,000
GymGaze Gross (70%)	R4,900,000	R16,600,000	R46,100,000
Sales Commission (7%)	R493,000	R1,700,000	R4,600,000
Broker Fee (7%)	R493,000	R1,700,000	R4,600,000
GymGaze Net Revenue	R3,914,000	R13,200,000	R36,900,000
Operating Costs	R1,333,032	R1,333,032	R1,333,032
Net Profit / Year	**R2,611,515**	**R12,017,743**	**R35,563,656**
Net Profit / Month	**R217,626**	**R1,001,479**	**R2,963,638**

6. Phase 2 Projections — Year 2 (165 Screens, 23 Venues)

Edge Fitness is adding 9 new gyms over the next 2 years, growing the network from 14 to 23 venues and from 102 to approximately 165 screens. Phase 2 operating costs increase modestly to R1,500,000/yr to accommodate an expanded team and additional venue rentals. No additional capital investment is required.

Scenario	Sell-Through	CPM	Gross Revenue	GymGaze Net Profit/yr
Conservative	35%	R65	R13,300,000	**R5,700,000**
Base	60%	R75	R42,100,000	**R21,800,000**
Optimistic	80%	R95	R106,600,000	**R57,900,000**

7. Phase 3 — Multi-Chain Expansion

GymGaze's model is chain-agnostic. The same Cuecast platform, operations team and sales process can be deployed across any gym chain partnership. South Africa has an estimated 300+ independent gym clubs operating 5–20 locations, presenting a significant addressable network opportunity. Conservative Phase 3 assumption: 3 new chain partners × avg 8 venues = 24 additional venues, yielding a combined network of 47 venues and ≈300 screens by Year 3.

Chain	Est. Venues	Region Focus	Status
Workout Gym	~15	KwaZulu-Natal	Target
Planet Fitness	20+	Gauteng	Target
Anytime Fitness SA	30+	National	Target
Pure Gym SA	10+	National	Target
Snap Fitness SA	~15	National	Target

8. Annual Operating Cost Structure

Cost Item	Annual Amount
Venue rental (Edge Fitness, 14 venues)	R344,400
Internet connectivity (14 SIM data plans)	R100,632
Salaries (Sales Rep + Technician + Coordinator)	R780,000
Equipment & public liability insurance	R33,600
Platform infrastructure (12 months)	R14,400
Miscellaneous / contingency	R60,000
Total Annual Operating Costs	**R1,333,032**

9. Investor Returns

Metric	Conservative	Base	Optimistic
GymGaze Net Profit / Year	R2,611,515	R12,017,743	R35,563,656
Investor Dividend (20%)	R522,303 / yr	R2,403,549 / yr	R7,112,731 / yr
Bi-Annual Payment	R261,151	R1,201,774	R3,556,365
Payback Period	2.8 years	0.6 years	0.2 years
Buyback Trigger	At R1M ARR	At R1M ARR	At R1M ARR
Buyback Price	R2,900,000 (2×)	R2,900,000 (2×)	R2,900,000 (2×)

Conservative scenario used as planning baseline. All figures exclude VAT. Projections based on industry CPM benchmarks and contracted venue data.

10. Use of Funds — R1,450,000

Item	Amount
Digital screens — 102 TVs (portrait + landscape)	R488,000
Android media players — 25 units	R20,150
HDMI splitters — 25 units (various port counts)	R6,540
Installation labour (14 venues)	R42,000

Cables, brackets and power strips	R43,860
6-month operating runway (salaries)	R450,000
SIM data — 12 months, 14 venues	R100,632
Equipment and liability insurance (12mo)	R33,600
Platform infrastructure (12mo)	R14,400
Uniforms + misc setup costs	R18,900
Sales commission buffer (months 1–3)	R15,000
Contingency reserve	R216,918
Total	**R1,450,000**

11. Five-Year Outlook

GymGaze is designed to scale. Phase 1 (Year 1) establishes the network, proves the model and generates strong returns at even conservative sell-through rates. Phase 2 (Year 2) leverages Edge Fitness's own expansion to grow the network to 23 venues without additional capital. Phase 3 (Years 3–5) adds independent chain partnerships at minimal incremental cost, building toward a 300+ screen national network.

Year	Venues	Screens	Est. Net Profit (Conservative)
Year 1	14	102	R2.6M
Year 2	23	165	R5.7M
Year 3	35	240	R9.2M (est.)
Year 4	47	310	R13.5M (est.)
Year 5	60+	400+	R18M+ (est.)

At 500+ screens, GymGaze becomes a Series A candidate or acquisition target for established OOH media groups. Target exit valuation: R20M–R25M.

This document contains forward-looking projections prepared for investor discussion purposes. Projections are based on industry benchmarks and contracted venue data. Actual results may differ materially. Prepared by GymGaze (Pty) Ltd. October 2026. Confidential — not for distribution.